

Japan semiconductor packaging industry update

EQUITY: JAPAN ELECTRONIC PARTS

Record-high shipments of package substrates in March

We infer that shipments from Ibiden's Ono plant got into full swing in March

Packaging-related monthly statistics: Record-high shipments and price per m² in March

According to the *Current Survey of Production* for March, released on 19 May, shipments of package substrates (rigid module PCBs) rose 63% y-y to a record high of ¥27.3bn. The price per m² was ¥1.216mn, also an all-time high. Jan–Mar package substrate shipments were up 46.6% y-y at ¥73.6bn. While it is important to bear in mind that sales at package substrate manufacturers do not necessarily match the data in the *Current Survey of Production* due to differences in the nature of the data (production and sales) and the fact that package substrate manufacturers also produce their products overseas, they show broadly the same trends.

We infer that Ibiden's Ono plant started contributing in earnest from March

Ibiden's Ono plant in Japan is still in the process of ramping up mass production, and we think that keeping track of monthly statistics should provide some extent of understanding about the contribution to output from the new plant. Given that the *Current Survey of Production* showed shipments of ¥22.5bn in January and ¥23.8bn in February, we can see that there was a sharp increase in shipments in March. Shipments from the Ono plant look to have started to rise in earnest in March. On a Apr 2025–Mar 2026 basis, shipment value was up 30.7% y-y at ¥245.0bn and the average price per m² was ¥1.050mn. Our 27/3 forecasts for package substrate shipments assume that increased shipments of Rubin, next-generation switches, and high-priced multicore CPU packaging substrates (including EMIB) will result in: (1) a 30% rise in the price per m² to around ¥1.36mn; and (2) a 20% rise in m² shipped.

AI industry: Andrej Karpathy joins Anthropic

In the AI industry, which is supporting demand for semiconductor package substrates, our focus is on the pace of evolution and uptake of agent models and whether AI Labo and cloud data centers can generate returns commensurate with investment by setting appropriate prices. On 20 May, there was a new development related to advances in agent models. One of the founding members of OpenAI, Andrej Karpathy, who led E2E autonomous driving model development at Tesla, joined Anthropic's pre-training team.

After leading the development of many cutting-edge AI models, Mr Karpathy shifted to a role in education. Now that he has returned to the cutting edge of LLM development, our expectations for the evolution of agent models have risen sharply. In his comments announcing his new position, Mr Karpathy said that the next two to three years will be a period of special development for cutting-edge LLMs.

We think the themes that Mr Karpathy will be in charge of include: (1) pre-training models specialized for agent models, including models with reasoning paths that can be verified from the outside and models capable of sustained learning; and (2) large language model operating system (LLM OS): long-term task execution, self-correcting loops, and pre-trained models that are suitable for tiered agents and constitutional-based multi-agent systems. We will be keeping a close eye on future comments by Mr Karpathy.

Research Analysts

Japan electronic parts

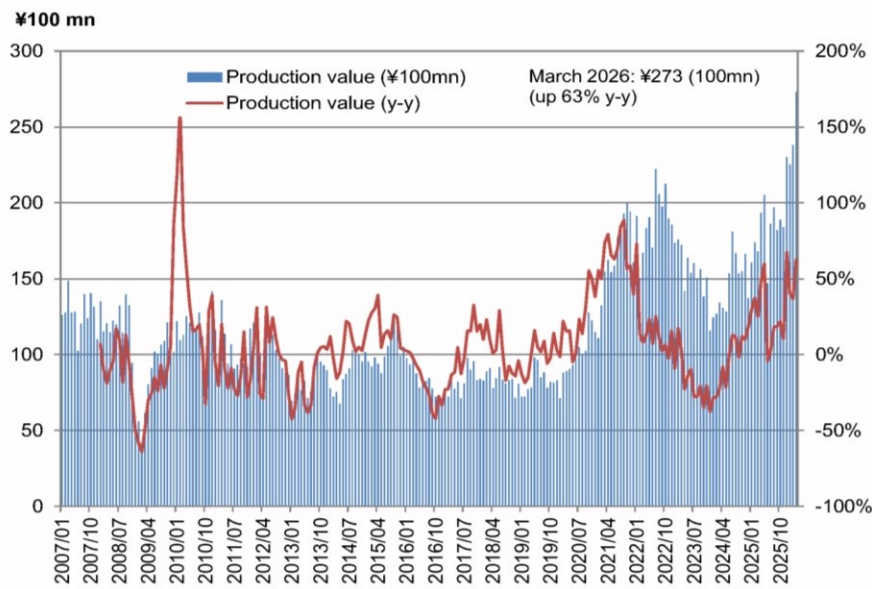
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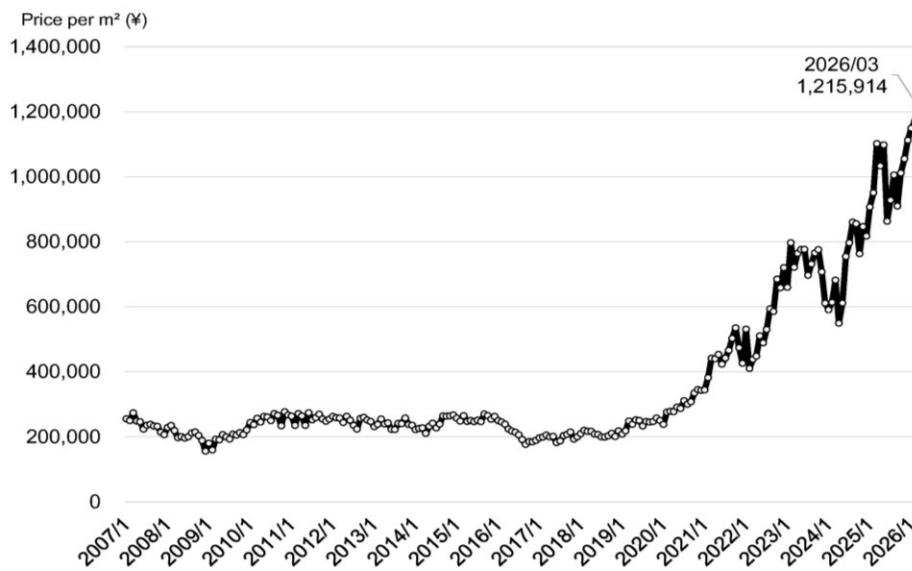
Reference figures

Fig. 1: Rigid PCB production value



Source: Nomura, based on Ministry of Economy, Trade & Industry's Current Survey of Production

Fig. 2: Price per m² for rigid module boards



Note: Module boards have components mounted on the board surface.

Source: Nomura, based on Ministry of Economy, Trade & Industry's Current Survey of Production

Appendix A-1

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Transactions involving foreign equities are subject to a domestic sales commission of up to 1.045% (tax included) of the transaction amount (which equals the local transaction amount plus local fees and taxes in the case of a purchase or the local transaction amount minus local fees and taxes in the case of a sale) (for transaction amounts of ¥750,000 and below, maximum domestic sales commission is ¥7,810 (tax included)). Local fees and taxes in foreign financial instruments markets vary by country/territory. When foreign equities are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Foreign equities carry the risk of losses owing to factors such as price fluctuations and foreign exchange rate fluctuations.

Margin transactions are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less), as well as management fees and rights handling fees. In addition, long margin transactions are subject to interest on the purchase amount, while short margin transactions are subject to fees for the lending of the shares borrowed. A margin equal to at least 30% of the transaction amount (at least 33% for online transactions) and at least ¥300,000 is required. With margin transactions, an amount up to roughly 3.3x the margin (roughly 3x for online transactions) may be traded. Margin transactions therefore carry the risk of losses in excess of the margin owing to share price fluctuations. For details, please thoroughly read the written materials provided, such as listed securities documents or documents delivered before making a contract.

Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used. When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset

management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

Nomura Securities Co., Ltd.

Financial instruments firm registered with the Kanto Local Finance Bureau (registration No. 142)

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